

SENATE No. 3213

Senate, July 23, 2026 -- Text of amendment (193) (offered by Senator Howard) to the Ways and Means amendment (Senate, No. 3178) to the House Bill relative to economic development in the commonwealth.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

1 by adding the following section:-

2 SECTION XXXX: (a) (i) As used in this section, “data center” shall mean a facility
3 whose total highest electricity demand during the most recent 12 consecutive monthly billing
4 periods, or a forecast of its next 12 consecutive monthly billing periods was or is not less than 20
5 megawatts and whose primary purpose is the storage, management and processing of digital data
6 via the interconnection and operation of information technology and network
7 telecommunications equipment, including all related facilities and infrastructure for backup
8 electricity generation, power distribution, environmental control, cooling and security.

9 (ii) As used in this section, “new clean energy resources” shall mean energy that is (i)
10 generated by non-carbon emitting renewable sources and meet the RPS Class I eligibility criteria
11 outlined in 225 CMR 14.05; (ii) tracked by the New England Power Pool Generation
12 Information System; (iii) generated in the compliance period in which it is used; and (iv)
13 generates renewable energy certificates that are retired within 6 months after the end of the
14 compliance period in which energy is used.

(b) Any new or expanded data center seeking any permit from any state or local permitting authorities shall procure sufficient electricity supply to meet their operational needs using not less than 100 per cent new clean energy resources that are located on the same site as the data center or that are connected to the ISO New England Inc. system.

(c) Any new or expanded data center seeking any permit from any state or local permitting authorities for operation of fossil-fuel generation equipment as backup source of power shall first demonstrate infeasibility of solar plus battery energy storage facilities on its site and commit to replacing said infrastructure with backup generation from battery energy storage facilities or other new clean energy resources to provide at least 25 per cent of backup energy needs by January 1, 2030, 50 per cent by January 1, 2035, and 100 per cent by January 1, 2040.

(d) Any new or expanded data center seeking any permit from state or municipal permitting authorities for operation of on site fossil-fuel generation equipment shall be responsible for all costs associated with any expansion of fossil-fuel delivery infrastructure such as, but not limited to, distribution or transmission gas pipelines.

(e) Before issuing any water management act permit or any local permits such as an occupancy permit for construction or expansion of a data center, the department of environmental protection shall certify that (i) water resources of the state are utilized in the public interest and that public health, safety, and welfare are adequately protected; (ii) water runoff or discharge does not impact local water quality; (iii) technologies that promote water conservation and the efficient use of water are utilized where possible, including but not limited to using water efficient fixtures and practices, recycling water before discharging, partnering with local water utilities to use discharged water from the data center, using reclaimed water,

installing closed-loop systems, and supporting water restoration and replenishment in local watersheds; and (iv) water use conflicts are addressed with priorities given to residential users.

(f) Any new or expanded data center shall submit a water resources management plan to the department and the department of environmental protection for approval. Said plan shall include provisions and mitigation as necessary to ensure that sensitive watersheds are not adversely impacted by said data center's water use, that water ratepayers will not see cost increases associated with increased demand, and that said data center's water use will not adversely impact the development of housing in the service territory of the center's water supplier. The department of environmental protection may issue guidance for the development of plans that comply with this subsection.

(g) Any new or expanded data center shall conduct pre-filing engagement and a cumulative impact analysis, as defined in sections 69G, 69H, 69J, 69J¼, 69T, 69U, and 69V and the regulations implementing those provisions for all energy infrastructure it utilizes or constructs. Any new or expanded data center shall also conduct a cumulative impact analysis of the project's air quality impacts, as defined in 310 CMR 7.02. The department of environmental protection shall also certify that any new or expanded data center complies with noise regulations, as defined in 310 CMR 7.10, during both construction and regular operation.

Any new or expanded data center seeking any permit from any state or local governmental authority for data center construction or expansion shall avoid environmental impacts with a sequential mitigation hierarchy that first avoids impacts, impacts that cannot be avoided are minimized, and impacts that cannot be minimized would require compensatory

mitigation fees for the value of nature's service and functions, as determined by the local authorities.

(h) Any new or expanded data center shall establish a community benefit plans and agreement pursuant to the guidelines established by the office of environmental justice and equity as required by section 29 of chapter 21A.

(i) No later than December 1, 2026 and every December 1 thereafter, all data centers must report to the department of energy resources and department of public utilities information about the data center, including information about the data center's annual electricity and water consumption. No later than March 1, 2027 and every March 1 thereafter, the departments must compile the information reported and publish a publicly available report on the department of public utilities' website. No state agency shall enter an agreement such as a non-disclosure agreement, that contains any provision, clause or language that provides that the contract or agreement or any of its terms are confidential or that the parties to the agreement or contract are prohibited from disclosing, discussing, describing or commenting upon the terms of the agreement or contract.

(j) Notwithstanding section 39M of chapter 30, chapter 149, and chapter 149A, the department shall require a project labor agreement on contracts for data center construction or expansion and may require project labor agreements as a condition of state or local permit approvals.

(k) State and local permits shall not be issued nor renewed for data center projects that fail to meet the requirements of subsections (b) through (j), inclusive.

(l) Any data center that fails to meet the requirements of subsections (b) through (j), inclusive shall be ineligible to qualify for a sales and use tax exemption established in section 6 of chapter 64H.

(m) Within 90 days after the effective date of this Act, each electric company shall file an application with the department to establish a tariff for the provision of electricity to data centers. The tariff shall be designed to: (i) ensure that non-data center ratepayers are protected from any increased costs that result from infrastructure to serve increased electricity demand caused by data centers; (ii) include appropriate contract terms, including but not limited to minimum charges, minimum contract length, minimum monthly billing demand, time-variant rates, collateral requirements, mandatory notice periods for contract reduction or termination, fees for large reductions in contract capacity, premature exit or termination fees, and other similar provisions to mitigate the risk of stranded costs for other customers; (iii) include large load interconnection technical requirements to ensure the safety and reliability of electric service in the state; and (iv) incentivize data centers to develop and utilize methods to increase energy efficiency, including through the use of technologies that capture and utilize the heat produced by the data centers.

(n) The department shall review each application submitted pursuant to this section and shall approve the application within 240 days after the application filing if it determines that it complies with the requirements of this section and all other applicable laws, rules and regulations. If the department rejects an application, it shall require the electric company to refile a corrected application within no more than 90 days.

100 (o) As a condition of permitting and ongoing eligibility for the sales and use tax
101 exemption established in section 6 of chapter 64H, all new and existing data centers shall
102 implement continuous environmental monitoring systems to measure and publicly report facility-
103 level air emissions, water usage, and other environmental indicators in real time. Such
104 monitoring data shall be made accessible to the public and relevant regulatory authorities and
105 shall be tied to enforceable performance thresholds established through the permitting process.
106 Permits shall require the establishment of clear compliance and enforcement mechanisms,
107 including defined penalties, corrective action requirements, and suspension or revocation
108 authorities in the event of noncompliance with monitoring, environmental standards, or
109 community benefit obligations. Monitoring frameworks shall be designed to ensure transparency,
110 protect public health, and provide meaningful oversight of cumulative impacts on surrounding
111 communities, with particular consideration for environmental justice populations. The
112 department, in consultation with the department of environmental protection, may promulgate
113 regulations to ensure compliance with this subsection.